Subscription Economy

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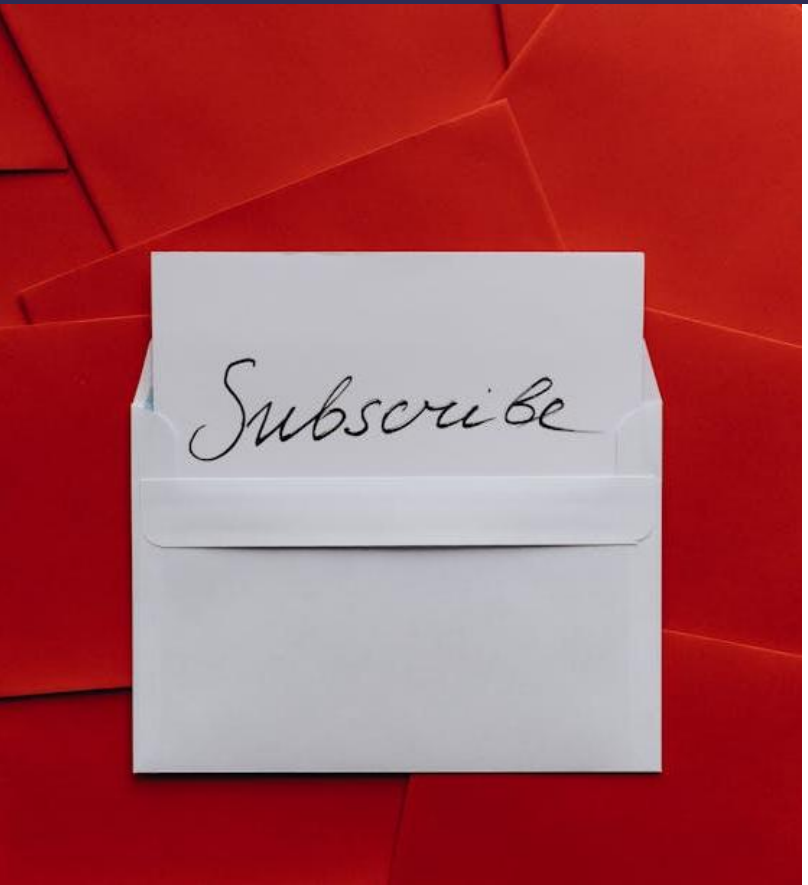
Subscription Economy

Content



1. Industry Adoption
2. Transition
3. Subscription Models
4. Key Metrics

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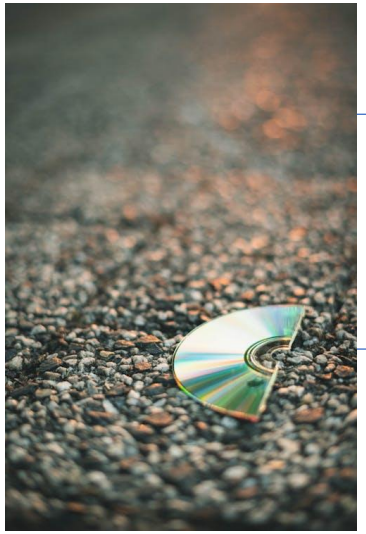
2. Industry Adoption

Subscription Economy

Industry Adoption: Movies and Music



Ownership of Movies, Music

Usage

Subscription Economy

Industry Adoption: Movie, Music, and Retail

Movie

- USA: 2/3 use streaming
- DE: >50%

Music

- Spotify: >500M users,
- 20% global music revenue

Retail

- Amazon Prime offer subscriptions for physical products

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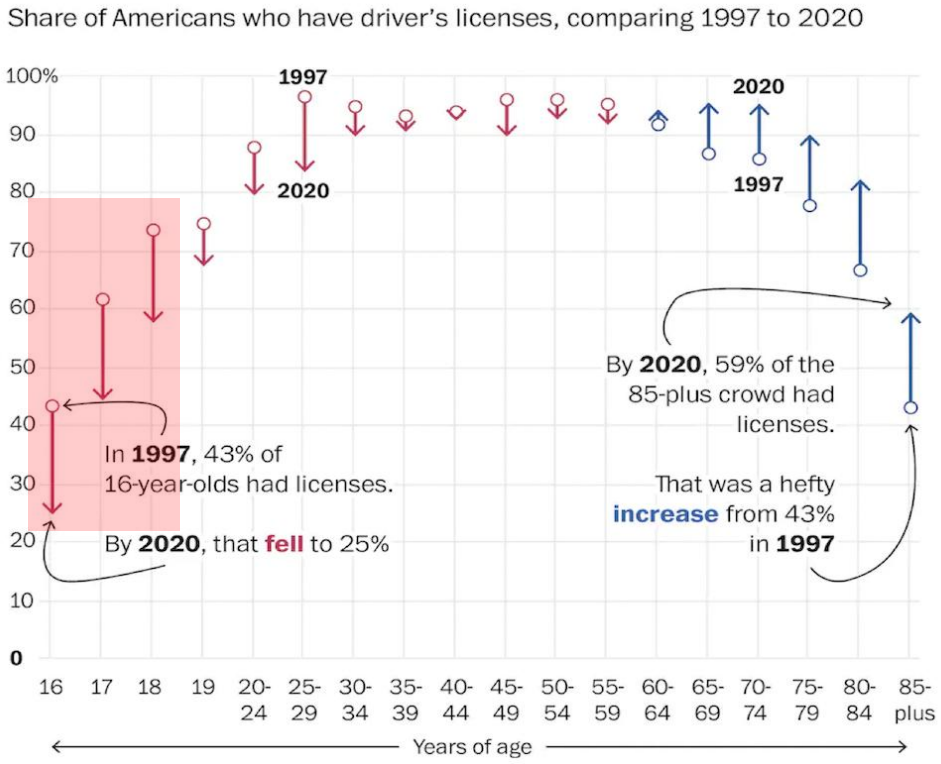
Industry Adoption: Automotive



Car Ownership

- USA: 2/3 use streaming
- DE: >50%

Uber

lyft

WAYMO

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Subscription Economy

Industry Adoption: Automotive

Care by Volvo

Care by Volvo

Unser Abo-Modell Care by Volvo wurde eingestellt und wir nehmen keine neuen Care by Volvo Bestellungen mehr an. Wenn Sie ein aktives Care by Volvo Abonnement haben oder auf die Auslieferung Ihres Care by Volvo Fahrzeugs warten, sind Sie von der Änderung nicht betroffen. Die vertraglichen Vereinbarungen werden vollständig erfüllt. Weitere Informationen finden Sie unten in den FAQs. Bei weiteren Fragen steht Ihnen auch unser Care by Volvo Kundenservice zur Verfügung.

Wenn Sie sich für einen Volvo interessieren, können Sie auf unserer Website unsere Modelle und Angebote erkunden.

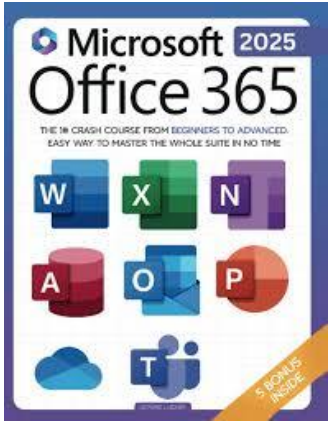
Porsche „Drive“

Also car manufacturers extend their offer from product to subscription models.

Subscription Economy

Industry Adoption: Software

Microsoft



Adobe

Also car manufacturers extend their offer from product to subscription models.

Subscription Economy

Industry Adoption

Ownership	Subscription
physical ownership	no physical ownership
one time payment is higher than subscription	+ predictable revenue + improved planning + enhanced retention + increased customer lifetime value + data driven insights + scalable growth

Subscription Economy

Industry Adoption – Exercise „Who is next?“

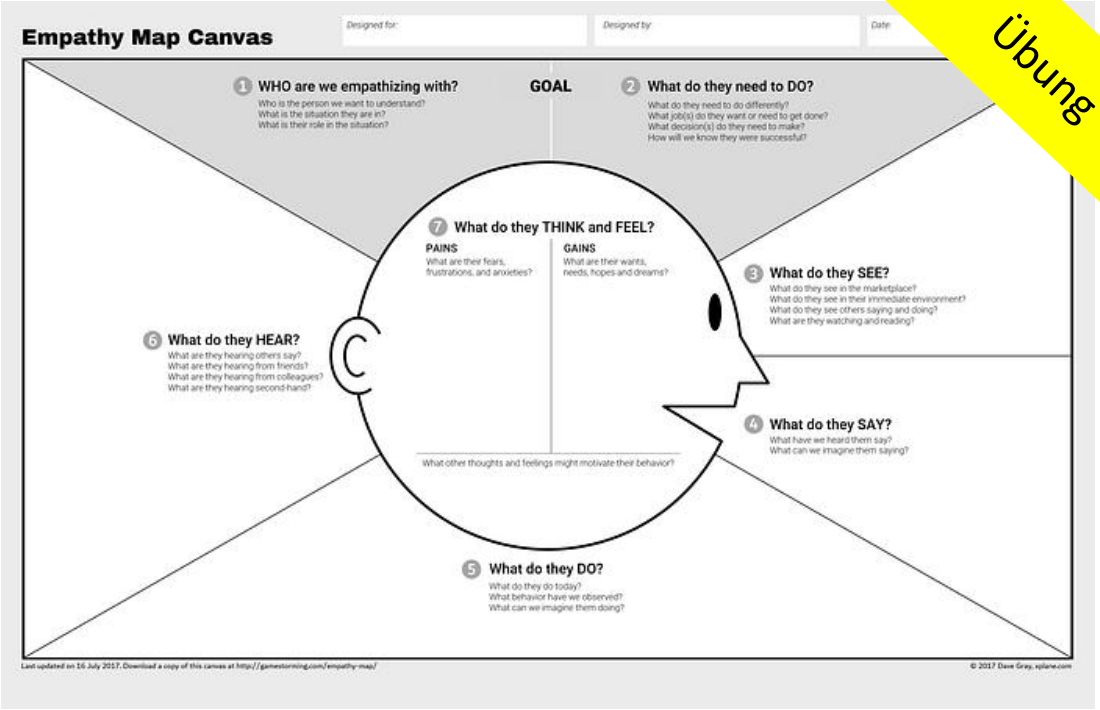
Who will be transformed next?

- Brainstorming – find at least one sector, that does not have subscription model
- Group work – discuss in small groups the benefits and disadvantages of transforming this sector
- Pitch – each group presents ist findings
- Discussion – why are some sectors easier to transform?

Subscription Economy

Exercise: Empathy Map Canvas

- Work in small groups
- Choose physical products or services (bicycle, restaurant, …)
- Fill the empathy map for the target group
- Focus: identify pain points



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Subscription Economy

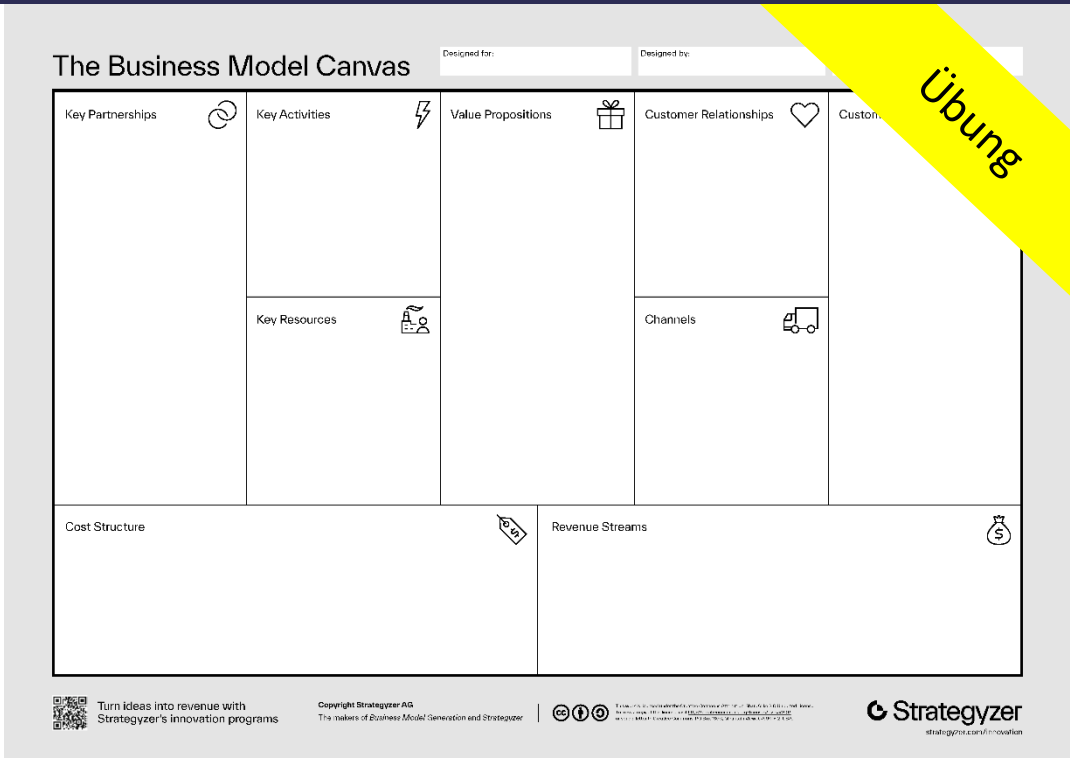
Exercise: Business Model Canvas

Schritt 2: Business Model Canvas
Basierend auf den Erkenntnissen aus der Empathy Map füllt ihr den **Business Model Canvas** aus.

- transformiert das Produkt in ein **Abo-Modell**

Fokus auf folgende Felder:

Wertangebote (Value Propositions): Welchen neuen Wert bietet das Abo-Modell? (z.B. Bequemlichkeit, Flexibilität, Kosteneinsparung).
Kundensegmente (Customer Segments): Wer ist der ideale Abonnent?
Einnahmequellen (Revenue Streams): Wie genau sieht das Preismodell aus? (z.B. monatliche Gebühr, gestaffelte Pakete).
Kundenbeziehungen (Customer Relationships): Wie wird die Bindung zum Kunden langfristig gestärkt? (z.B. Community, exklusive Inhalte, personalisierte Services).
Schlüsselaktivitäten (Key Activities): Welche neuen Prozesse sind für das Abo-Modell notwendig? (z.B. Logistik für wiederkehrende Lieferungen, Kunden-Support für Abonnenten).



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Subscription Economy

Industry Adoption – Exercise „Reverse Engineering“

Übung

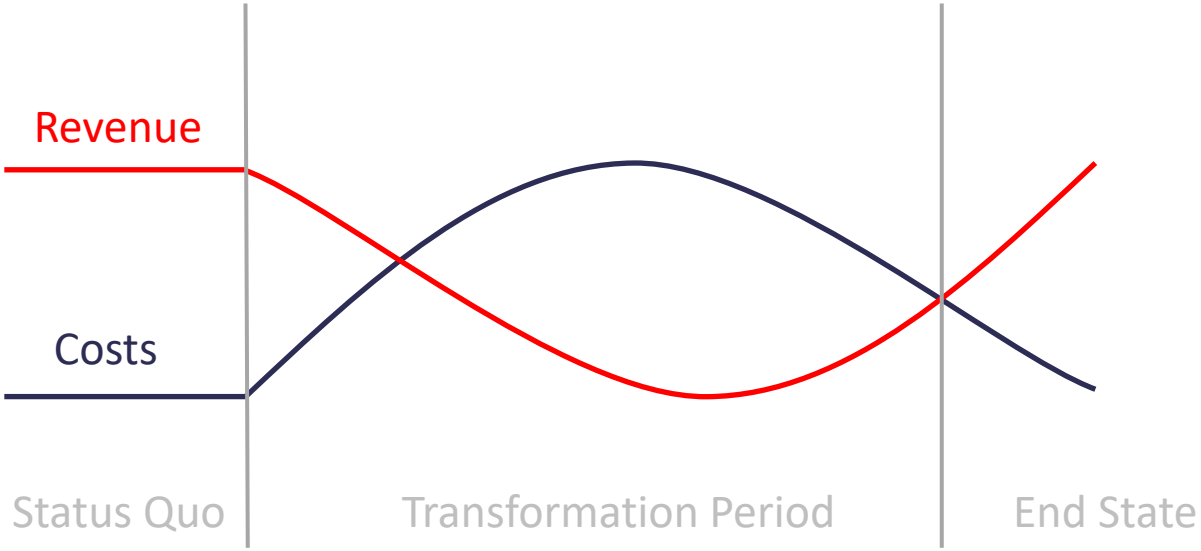
Reverse Engineering

- Group work – discuss in small groups famous subscription models (e.g. Netflix, Spotify, Peloton)
- analyse most important success criteria (customer retention, pricing, upselling, …)
- present your findings

Transition

Subscription Economy

Transition



- situation might become instable when competitors increase pressue

- new subscribers cannibalize old ones
- from up-front revenue to multi-year subscription lowers revenues

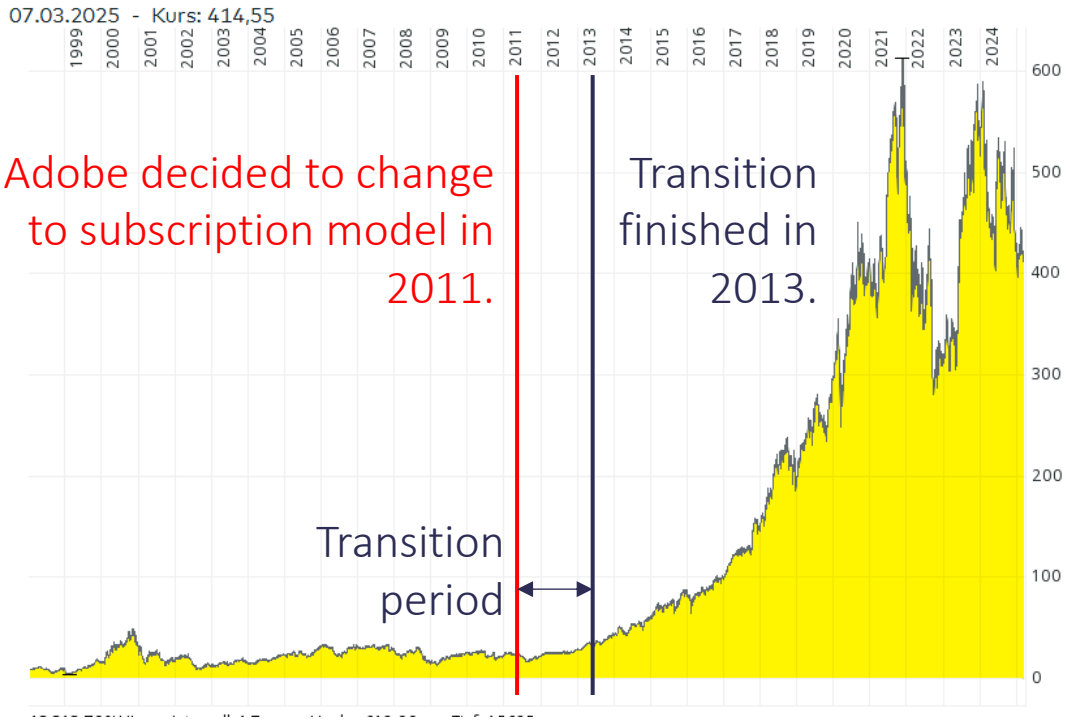
- costs reduce to original level
- long-term customer value increases, steady revenue stream

Subscription Economy

Transition – Adobe's Success Story

Adobe

Subscription revenue makes up 87% of total income!



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Subscription Economy

Transition – Challenges

Revenue Dip

- The "swallowing the fish" curve shows initial revenue drop during transition.
- Upfront investments create temporary financial pressure.

Operational Shift

- Restructuring pricing models and packaging requires systematic changes
- billing system needs complete overhaul

Culture Change

- Sales teams must adapt to new compensation structures
- success metrics shift from one-time sales to recurring value

Subscription Economy

Transition – Key Steps

Research Phase
Conduct thorough market analysis and customer research. Understand competitive landscape and willingness to pay.

Implement Technology
Deploy subscription management and billing systems. Integrate with existing customer relationship infrastructure.

Design Offerings
Create tiered subscription packages with clear value progression. Develop pricing strategy that balances acquisition and retention.

Train Teams
Prepare sales and support staff for new business model. Update compensation plans to incentivize long-term relationships

Subscription Economy

Industry Adoption – Exercise „From One-Time Purchase to subscription“

From One-Time Purchase to Subscription

Target: understand how transition works

Procedure:

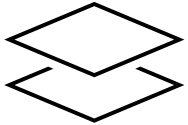
- classical sales models (bike sale, kitchen manufacturer, clothes store)
- in groups: develop a subscription model, including:
  - which value is delivered?
  - how to ensure that customers stick with it?
  - how could pricing be defined?
- present your findings

Subscription Models

Subscription Economy

Models

Tiered Pricing



- multiple service levels at different price points

Examples

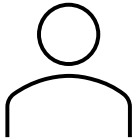
NETFLIX

Standard (ad-supported)
premium (4k streaming, offline downloads, …

Subscription Economy

Models

Recurring Flat Rate



- fixed regular fee (usually monthly/yearly)
- for unlimited access

Examples

NETFLIX

Subscription Economy

Models

Pay-as-you-go

- usage-based billing
- no fixed commitments

Examples

Subscription Economy

Models

Freemium

- basic service without fee
- premium features are paid

Examples

Spotify

Subscription Economy

Industry Adoption – Exercise „Customer Retention“

Customer Retention

Target: understand customer retention in subscription models

Procedure:

- work in groups
- create fictitious customer profiles with different needs and expectations
  - example „Lisa, 35, uses Spotify, but cancels subscription after short period of time“
- discuss how to keep customer?
- final discussion: which strategies work most effectively?

Key Metrics

Subscription Economy

Key Metrics: MRR

Monthly Recurring Revenue (MRR)

- summing all the monthly subscription revenue from paying customers
- customers on annual plans, their yearly fee is typically divided by 12 to determine their contribution to MRR.
- Example:
  - 100 customers paying $10/month
  - 50 customers paying $25/month
  - 20 customers paying $600/year ($50/month)
  - MRR = (100 × 10€) + (50 × 25€) + (20 × 50€) = 1,000€ + 1,250€ + 1,000€ = 3.250€

Subscription Economy

Key Metrics: MRR

Monthly Recurring Revenue (MRR)

- valueable:
  - Provides a clear picture of predictable revenue
  - Makes it easier to forecast future growth
  - Helps track the health of the subscription business
  - Serves as a foundation for other key metrics like MRR growth rate, churn, and customer lifetime value

often broken down MRR into components like new MRR (from new customers), expansion MRR (from upsells), contraction MRR (from downgrades), and churned MRR (from cancellations) to better understand their business dynamics

Subscription Economy

Key Metrics: Churn Rate

Churn Rate

- measures the percentage of customers or revenue that a subscription business loses over a specific period (typically monthly or annually)
- crucial metric for subscription-based businesses as it directly impacts growth and long-term profitability
- two main types of churn rate:
  - customer churn rate
  - revenue churn rate

Subscription Economy

Key Metrics: Churn Rate

Customer Churn Rate

- percentage of customers who cancel their subscriptions during a period

$$= \frac{\text{Number of customers lost during period}}{\text{Total number of customers at start of period}}$$

Revenue Churn Rate

- ercentage of revenue lost from existing customers during a period

$$= \frac{\text{MRR lost during period}}{\text{Total MRR at start of period}}$$

- can be negative (which is good)
- lower churn rate better → high customer retention

Subscription Economy

Key Metrics: Churn Rate

Churn Rate

- SaaS companies often aim for monthly churn rates 2-3%
- Understanding churn helps businesses identify issues in product value, customer service, or pricing strategy and take corrective actions to improve customer retention

Subscription Economy

Key Metrics: Customer Acquisition Cost

Customer Acquisition Cost

- measures the total cost required to acquire a new customer for your business
- fundamental metric for subscription businesses that helps evaluate marketing efficiency and overall business sustainability

$$CAC = \frac{\text{Total Acquisition Cost}}{\text{Number of new customers acquired}}$$

Subscription Economy

Key Metrics: Customer Acquisition Cost

Customer Acquisition Cost

Acquisition Cost typically include:

- Marketing expenses (advertising, content, events)
- Sales team salaries and commissions
- Software tools for marketing and sales
- Related overhead costss

Subscription Economy

Key Metrics: Customer Acquisition Cost

Customer Acquisition Cost

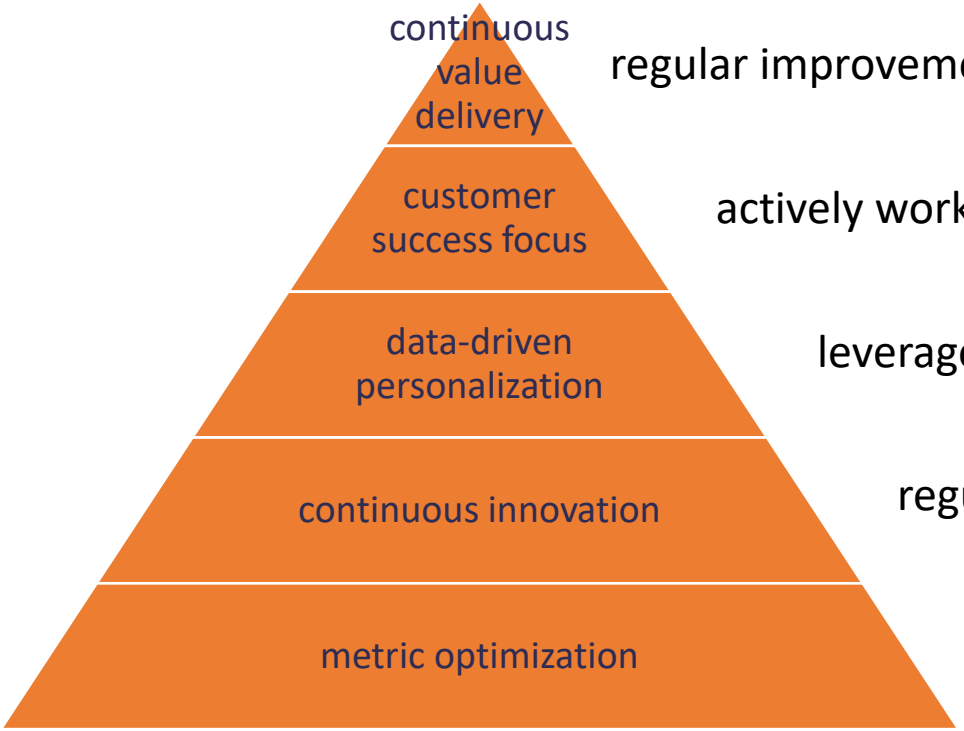
Key points:

1. CAC evaluated alongside Customer Lifetime Value (CLV) - generally, the CLV:CAC ratio should be at least 3:1 for a sustainable business model
2. Payback period (time to recover CAC) important - subscription businesses typically aim to recover their CAC within 12-18 months
3. CAC tends to increase as markets mature and competition intensifies
4. Different customer segments may have different CACs, making segmentation analysis valuable
5. Reducing CAC achieved through improving conversion rates, optimizing marketing channels, and implementing effective referral programs

For subscription businesses, continuously monitoring and optimizing CAC is crucial for long-term profitability and growth.

Subscription Economy

Key Takeaways for Success



regular improvement keeps subscribers engaged

actively work to reduce churn

leverage insights for upselling opportunities

regularly enhance subscription offerings

monitor MRR, churn rate, and CAC